

Comprehensive Audit Report: AsterNova Technologies Ltd.

Period: 2026-03-31 | Currency: INR (EXACT) | Framework: US GAAP / IFRS | Stage: CY_DRAFT_FS

Overall Audit Status	CLEARED	Total Procedures: 56	Passed: 56	Flagged Exceptions: 0
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Conclusion Summary: All 56 procedures completed cleanly with status CLEARED.

1. Audit Findings & Exceptions (0 Total)

No audit findings or rule exceptions detected.

2. Financial Statement YoY Analytics

A. Income Statement Variances

Line Item	Prior	Current	Variance (\$)	Variance (%)	Threshold	Commentary
Revenue	1,434.12	1,354.66	-79.46	-5.5%	NO	Revenue changed by \$-79.46 (-5.5%) YoY.
Cost of Goods Sold	582.55	532.49	-50.06	-8.6%	NO	Cost of Goods Sold changed by \$-50.06 (-8.6%) YoY.
Gross Profit	851.57	822.17	-29.40	-3.5%	NO	Gross Profit changed by \$-29.40 (-3.5%) YoY.
SG&A; Expense	314.91	379.27	64.36	20.4%	NO	SG&A; Expense changed by \$+64.36 (+20.4%) YoY.
R&D; Expense	144.61	127.30	-17.31	-12.0%	NO	R&D; Expense changed by \$-17.31 (-12.0%) YoY.
Depreciation & Amortization	55.37	58.45	3.08	5.6%	NO	Depreciation & Amortization changed by \$+3.08 (+5.6%) YoY.
Total Operating Expenses	514.89	565.02	50.13	9.7%	NO	Total Operating Expenses changed by \$+50.13 (+9.7%) YoY.
Operating Income	336.68	257.15	-79.53	-23.6%	NO	Operating Income changed by \$-79.53 (-23.6%) YoY.
Interest Expense	18.35	19.97	1.62	8.8%	NO	Interest Expense changed by \$+1.62 (+8.8%) YoY.
Income Tax Expense	67.28	43.56	-23.72	-35.3%	NO	Income Tax Expense changed by \$-23.72 (-35.3%) YoY.
Net Income	248.72	193.85	-54.87	-22.1%	NO	Net Income changed by \$-54.87 (-22.1%) YoY.

B. Balance Sheet Variances

Line Item	Prior	Current	Variance (\$)	Variance (%)	Threshold	Commentary
Cash & Cash Equivalents	265.53	508.22	242.69	91.4%	NO	Cash & Cash Equivalents changed by \$+242.69 (+91.4%) YoY.
Accounts Receivable, net	256.57	264.40	7.83	3.0%	NO	Accounts Receivable, net changed by \$+7.83 (+3.0%) YoY.
Inventory	102.50	98.25	-4.25	-4.2%	NO	Inventory changed by \$-4.25 (-4.2%) YoY.
Prepaid Expenses	49.99	43.98	-6.01	-12.0%	NO	Prepaid Expenses changed by \$-6.01 (-12.0%) YoY.

Line Item	Prior	Current	Variance (\$)	Variance (%)	Threshold	Commentary
Total Current Assets	674.60	914.85	240.25	35.6%	NO	Total Current Assets changed by \$+240.25 (+35.6%) YoY.
PP&E, net	346.80	368.89	22.09	6.4%	NO	PP&E, net changed by \$+22.09 (+6.4%) YoY.
Total Assets	1,106.60	1,369.61	263.01	23.8%	NO	Total Assets changed by \$+263.01 (+23.8%) YoY.
Accounts Payable	188.09	87.53	-100.56	-53.5%	NO	Accounts Payable changed by \$-100.56 (-53.5%) YoY.
Accrued Expenses	57.01	76.46	19.45	34.1%	NO	Accrued Expenses changed by \$+19.45 (+34.1%) YoY.
Total Current Liabilities	367.61	266.40	-101.21	-27.5%	NO	Total Current Liabilities changed by \$-101.21 (-27.5%) YoY.
Long-term Debt	199.04	325.79	126.75	63.7%	NO	Long-term Debt changed by \$+126.75 (+63.7%) YoY.
Total Liabilities	566.65	592.19	25.54	4.5%	NO	Total Liabilities changed by \$+25.54 (+4.5%) YoY.
Common Stock	102.46	102.46	0.00	0.0%	NO	Common Stock changed by \$+0.00 (+0.0%) YoY.
Retained Earnings	255.89	426.73	170.84	66.8%	NO	Retained Earnings changed by \$+170.84 (+66.8%) YoY.
Total Equity	539.95	777.43	237.48	44.0%	NO	Total Equity changed by \$+237.48 (+44.0%) YoY.

3. Financial Ratios Analysis (11 Tested)

Category	Ratio Name & Formula	Prior	Current	Benchmark	Status	Assessment
Liquidity	Current Ratio Total Current Assets / Total Current Liabilities	1.84	3.43	1.00x to 3.00x	PASS	Current Ratio is 3.43x vs prior period 1.84.
Liquidity	Quick Ratio (Acid-Test) (Cash & Cash Equivalents + Accounts Receivable) / Total Current Liabilities	1.42	2.90	>= 1.00x	PASS	Quick Ratio (Acid-Test) is 2.90x vs prior period 1.42.
Leverage	Debt-to-Equity Ratio (Short-Term Debt + Long-Term Debt) / Total Stockholders' Equity	0.60	0.55	0.10x to 4.00x	PASS	Debt-to-Equity Ratio is 0.55x vs prior period 0.60.
Solvency	Interest Coverage Ratio Operating Income / Interest Expense	18.35	12.88	>= 2.50x	PASS	Interest Coverage Ratio is 12.88x vs prior period 18.35.
Activity	Days Sales Outstanding (DSO) (Accounts Receivable / Total Revenue) * 365	65.30	71.20	30 to 90 Days	PASS	Days Sales Outstanding (DSO) is 71.2 Days vs prior period 65.30.
Activity	Days Inventory Outstanding (DIO) (Ending Inventory / Cost of Goods Sold) * 365	64.20	67.30	<= 90 Days	PASS	Days Inventory Outstanding (DIO) is 67.3 Days vs prior period 64.20.
Activity	Days Payable Outstanding (DPO) (Accounts Payable / Cost of Goods Sold) * 365	117.80	60.00	<= 90 Days	PASS	Days Payable Outstanding (DPO) is 60.0 Days vs prior period 117.80.
Activity	Cash Conversion Cycle (CCC) DIO + DSO - DPO	11.70	78.60	<= 90 Days	PASS	Cash Conversion Cycle (CCC) is 78.6 Days vs prior period 11.70.
Profitability	Gross Profit Margin ((Revenue - COGS) / Revenue) * 100	59.38	60.69	10.0% to 90.0%	PASS	Gross Profit Margin is 60.7% vs prior period 59.38.

Category	Ratio Name & Formula	Prior	Current	Benchmark	Status	Assessment
Profitability	Operating Profit Margin (Operating Income / Revenue) * 100	23.48	18.98	>= 15.0%	PASS	Operating Profit Margin is 19.0% vs prior period 23.48.
Profitability	Effective Tax Rate (Income Tax Expense / Pre-Tax Income (EBT)) * 100	21.29	18.35	15.0% to 35.0%	PASS	Effective Tax Rate is 18.3% vs prior period 21.29.

4. Audit Procedures Execution Log (56 Total Procedures)

Step	Category	Procedure Description	Ref	Status	Issue / Resolution
1	mathematical accuracy	Balance Sheet Equilibrium: Total Assets == Total Liabilities + Total Stockholders' Equity	MATH_01	PASS	Issue: None Res: no action required.
2	mathematical accuracy	Current Assets Footing: Total Current Assets == Cash + AR + Inventory + Prepaid Expenses	MATH_02	PASS	Issue: None Res: no action required.
3	mathematical accuracy	Total Assets Footing: Total Assets == Total Current Assets + Total Non-Current Assets	MATH_03	PASS	Issue: None Res: no action required.
4	mathematical accuracy	Current Liabilities Footing: Total Current Liabilities == AP + Short-Term Debt + Current LT Debt + Accrued Expenses	MATH_04	PASS	Issue: None Res: no action required.
5	mathematical accuracy	Total Liabilities Footing: Total Liabilities == Total Current Liabilities + Total Non-Current Liabilities	MATH_05	PASS	Issue: None Res: no action required.
6	mathematical accuracy	Stockholders' Equity Footing: Equity == Common Stock + APIC + Retained Earnings + AOCI - Treasury Stock	MATH_06	PASS	Issue: None Res: no action required.
7	mathematical accuracy	Gross Profit Calculation: Gross Profit == Revenue - Cost of Goods Sold	MATH_07	PASS	Issue: None Res: no action required.
8	mathematical accuracy	Operating Income Calculation: Operating Income == Gross Profit - Operating Expenses	MATH_08	PASS	Issue: None Res: no action required.
9	mathematical accuracy	Net Income Calculation: Net Income == Operating Income + Non-Operating Income - Interest Expense - Income Tax Expense	MATH_09	PASS	Issue: None Res: no action required.
10	mathematical accuracy	Cash Flow Net Change: Net Change in Cash == Operating CF + Investing CF + Financing CF	MATH_10	PASS	Issue: None Res: no action required.
11	mathematical accuracy	Cash Flow Ending Cash: Ending Cash == Beginning Cash + Net Change in Cash	MATH_11	PASS	Issue: None Res: no action required.
12	internal consistency and cross statement tie outs	Net Income Reconciliation: IS Net Income == CFS Operating CF Starting Net Income	TIEOUT_01	PASS	Issue: None Res: no action required.
13	internal consistency and cross statement tie outs	Ending Cash Tie-Out: CFS Ending Cash == Balance Sheet Cash & Cash Equivalents	TIEOUT_02	PASS	Issue: None Res: no action required.
14	internal consistency and cross statement tie outs	Depreciation Cross-Check: IS Depreciation Expense == CFS Non-Cash D&A; Add-back	TIEOUT_03	PASS	Issue: None Res: no action required.
15	internal consistency and cross statement tie outs	Retained Earnings Roll-Forward: Ending RE == Beginning RE + Current Net Income - Dividends Declared	TIEOUT_04	PASS	Issue: None Res: no action required.
16	prior year comparative tie-outs	Comparative Assets: Current Report PY Total Assets == Audited Prior-Year Total Assets	PY_01	PASS	Issue: None Res: no action required.

Step	Category	Procedure Description	Ref	Status	Issue / Resolution
17	prior year comparative tie-outs	Comparative Cash: Current Report PY Cash == Audited Prior-Year Cash	PY_02	PASS	Issue: None Res: no action required.
18	prior year comparative tie-outs	Comparative Retained Earnings: Current Report PY Retained Earnings == Audited Prior-Year Retained Earnings	PY_03	PASS	Issue: None Res: no action required.
19	prior year comparative tie-outs	Comparative Revenue: Current Report PY Revenue == Audited Prior-Year Revenue	PY_04	PASS	Issue: None Res: no action required.
20	prior year comparative tie-outs	Comparative Net Income: Current Report PY Net Income == Audited Prior-Year Net Income	PY_05	PASS	Issue: None Res: no action required.
21	disclosure and footnote schedule tie-outs	AR Aging Schedule Footing: Gross AR (Footnote) == Sum of Aging Buckets	NOTE_01	PASS	Issue: None Res: no action required.
22	disclosure and footnote schedule tie-outs	Net AR Footnote Calculation: Net AR (Footnote) == Gross AR - Allowance for Credit Losses	NOTE_02	PASS	Issue: None Res: no action required.
23	disclosure and footnote schedule tie-outs	AR Footnote to Balance Sheet: Note Net AR == Balance Sheet Net Accounts Receivable	NOTE_03	PASS	Issue: None Res: no action required.
24	disclosure and footnote schedule tie-outs	PP&E; Footnote Net Book Value: Ending Net PP&E; == Ending Gross PP&E; - Ending Accumulated Depreciation	NOTE_04	PASS	Issue: None Res: no action required.
25	disclosure and footnote schedule tie-outs	PP&E; Footnote to Balance Sheet: Note Net PP&E; == Balance Sheet Net Property, Plant & Equipment	NOTE_05	PASS	Issue: None Res: no action required.
26	disclosure and footnote schedule tie-outs	Debt Maturity Schedule Sum: Total Future Debt Maturities == Sum of Scheduled Debt	NOTE_06	PASS	Issue: None Res: no action required.
27	disclosure and footnote schedule tie-outs	Short-Term Debt Maturity Match: Year 1 Debt Maturity == Balance Sheet Current Portion of LT Debt	NOTE_07	PASS	Issue: None Res: no action required.
28	disclosure and footnote schedule tie-outs	Long-Term Debt Maturity Match: Sum of Years 2-Thereafter Maturities == Balance Sheet Long-Term Debt	NOTE_08	PASS	Issue: None Res: no action required.
29	Horizontal & Vertical Analytics	YoY Revenue Horizontal Variance Analysis	ANALYTICS_01	PASS	Issue: None Res: no action required.
30	Horizontal & Vertical Analytics	YoY Expense Horizontal Variance Analysis	ANALYTICS_02	PASS	Issue: None Res: no action required.
31	Horizontal & Vertical Analytics	Vertical Common-Size Balance Sheet Analysis	ANALYTICS_03	PASS	Issue: None Res: no action required.
32	Horizontal & Vertical Analytics	Vertical Common-Size Income Statement Analysis	ANALYTICS_04	PASS	Issue: None Res: no action required.
33	Analytics Variance Flagging	Flag Material YoY Line Item Variances (> 20.0% and > \$1,000,000)	FLAG_01	PASS	Issue: None Res: no action required.
34	Relationship Disconnect Audit	Checks if AR growth significantly outpaces revenue expansion	REL_01	PASS	Issue: None Res: no action required.
35	Relationship Disconnect Audit	Checks for divergence between revenue and cost of goods sold growth rates	REL_02	PASS	Issue: None Res: no action required.
36	Relationship Disconnect Audit	Checks if inventory buildup outpaces cost of goods sold growth	REL_03	PASS	Issue: None Res: no action required.
37	Relationship Disconnect Audit	Checks if PP&E; expands while depreciation expense decreases	REL_04	PASS	Issue: None Res: no action required.
38	Relationship Disconnect Audit	Checks if debt balance increases while interest expense decreases	REL_05	PASS	Issue: None Res: no action required.
39	Relationship Disconnect Audit	Checks if pre-tax profit increases while tax expense decreases	REL_06	PASS	Issue: None Res: no action required.

Step	Category	Procedure Description	Ref	Status	Issue / Resolution
40	Financial Ratio - Liquidity	Evaluate Current Ratio against benchmark 1.00x to 3.00x	RATIO_01	PASS	Issue: None Res: no action required.
41	Financial Ratio - Liquidity	Evaluate Quick Ratio (Acid-Test) against benchmark $\geq 1.00x$	RATIO_02	PASS	Issue: None Res: no action required.
42	Financial Ratio - Leverage	Evaluate Debt-to-Equity Ratio against benchmark 0.10x to 4.00x	RATIO_03	PASS	Issue: None Res: no action required.
43	Financial Ratio - Solvency	Evaluate Interest Coverage Ratio against benchmark $\geq 2.50x$	RATIO_04	PASS	Issue: None Res: no action required.
44	Financial Ratio - Activity	Evaluate Days Sales Outstanding (DSO) against benchmark 30 to 90 Days	RATIO_05	PASS	Issue: None Res: no action required.
45	Financial Ratio - Activity	Evaluate Days Inventory Outstanding (DIO) against benchmark ≤ 90 Days	RATIO_06	PASS	Issue: None Res: no action required.
46	Financial Ratio - Activity	Evaluate Days Payable Outstanding (DPO) against benchmark ≤ 90 Days	RATIO_07	PASS	Issue: None Res: no action required.
47	Financial Ratio - Activity	Evaluate Cash Conversion Cycle (CCC) against benchmark ≤ 90 Days	RATIO_08	PASS	Issue: None Res: no action required.
48	Financial Ratio - Profitability	Evaluate Gross Profit Margin against benchmark 10.0% to 90.0%	RATIO_09	PASS	Issue: None Res: no action required.
49	Financial Ratio - Profitability	Evaluate Operating Profit Margin against benchmark $\geq 15.0\%$	RATIO_10	PASS	Issue: None Res: no action required.
50	Financial Ratio - Profitability	Evaluate Effective Tax Rate against benchmark 15.0% to 35.0%	RATIO_11	PASS	Issue: None Res: no action required.
51	Input Assumption Guardrail	Revenue Growth Rate Rule	IS_GUARD_01	PASS	Issue: None Res: no action required.
52	Input Assumption Guardrail	OpEx to Revenue Ratio	IS_GUARD_03	PASS	Issue: None Res: no action required.
53	Input Assumption Guardrail	Cash Buffer Rule	BS_GUARD_01	PASS	Issue: None Res: no action required.
54	Input Assumption Guardrail	CapEx to Revenue Ratio	CF_GUARD_02	PASS	Issue: None Res: no action required.
55	Input Assumption Guardrail	Dividend Payout Ratio	CF_GUARD_03	PASS	Issue: None Res: no action required.
56	Input Assumption Guardrail	Contingent Liabilities Threshold	NOTE_GUARD_02	PASS	Issue: None Res: no action required.